

Q4 2025 -- Record Year, but 2026 NII Guidance Disappoints

JPM | JPMorgan Chase & Co. | Financials

Analyst: David Kim

Type: Earnings Review

Rating: Overweight (Downgrade)

Conviction: Medium

Price Target: \$240

JPMorgan reported Q4 2025 EPS of \$4.81, beating consensus of \$4.35, capping a record year with full-year net income of \$58.5B. However, 2026 net interest income (NII) guidance of \$89B disappointed the market (consensus was \$92B), sending shares down 4% after-hours.

Key Positives:

Investment banking fees surged 49% YoY, with particular strength in M&A advisory as the deal backlog continues to convert. Trading revenue was up 21%, benefiting from elevated volatility and market-making gains. Credit quality remains benign -- net charge-offs of 0.52% are below historical averages.

Key Concerns:

NII guidance implies meaningful compression as rate cuts flow through the deposit base faster than loan repricing. Management expects 3-4 additional Fed cuts in 2026, which would pressure net interest margins by an estimated 15-20 bps.

Expense growth of 7% guided for 2026 also raised eyebrows, driven by continued technology investment and compensation inflation. The efficiency ratio may deteriorate toward 56% from the current 54%.

Downgrading to Overweight from Strong Overweight (reducing conviction from High to Medium). JPM remains the highest-quality large-cap bank, but the NII headwind and elevated expectations create a more balanced risk/reward in the near term.

Quant composite rank: #22 (from #15). Momentum has weakened, though quality (+2.4) and value (+0.8) scores remain supportive.